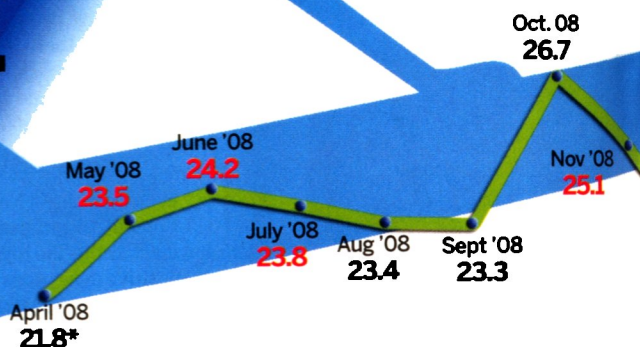


The Liquidity SQUEEZE

The finance minister has repeatedly urged banks to lend to businesses and enable growth. But banks, fearful of rising bad loans, have failed to deliver.

Stunted growth

Bank credit has seen a sharp decline post the October meltdown



| By Nivedita Mukherjee |

The Oxford Dictionary describes "compulsion" as pressure forcing someone to do something as well as an irresistible urge to do something. When Finance Minister Pranab Mukherjee met the chiefs of public sector banks (PSBs), including State Bank of India chief O.P. Bhatt and then Punjab National Bank chief K.C. Chakrabarty, he shared his compulsion, the urge to nudge the economy along. On their part, the bank chiefs revealed that they too had a compulsion, maintaining healthy balance

sheets. Semantics apart, fact is industry is reeling under a crunch. Money is not easily available, and when it is, it is too expensive. The RBI's hard landing of the economy through inflation management in early 2008 and the consequences of the global meltdown have translated into a double whammy for corporate India.

Despite loosening of cash reserve ratio (CRR) limits and cutting of repo rates, credit continues to be elusive. Far from bringing about commensurate cuts in lending rates by banks, bank credit has been steadily declining, touching a record low of 16 per cent in the fortnight ended May 22 compared to 25 per cent growth in the same period last year. Between September 30, 2008 and April 2009, says Mukherjee, the RBI slashed key policy rates by 450 basis points and lowered the CRR and Statutory Liquidity Ratio (SLR), funds banks are required to park with the apex bank and keep in govern-

ment securities, respectively. "This has led to infusion of liquidity of over Rs 4,22,000 crore," says Mukherjee.

But all this has apparently not helped. Industrial production has remained negative for the last four months in a row, taking the Index of Industrial Production (IIP) growth figure for 2008-09 to 2.6 per cent. Last week, it registered positive growth for the first time, at 1.4 per cent in April. The problem is obviously with credit. While bank credit to the commercial sector has declined from 21 per cent in 2007-08 to 16.9 per cent in 2008-09, total flow of resources to the commercial sector in 2008-09 was significantly lower at Rs 6,79,040 crore than the Rs 7,80,505 crore in the previous year. According to Reserve Bank officials, credit should be growing at 20 per cent to sustain 6.5 per cent growth rate. If one recalls, the GDP grew at 9.5 per cent in 2005-06 and credit grew by 39.6 per cent.

Overall credit portfolios of banks